9.1 Introduction



Student activity 9.1

Read the following statement.

A sole trader earns ₹ 1,00,000 per annum from business.

- Is this a high profit? State the reasons.
- Do you think the above information is enough to say that it is high profit or not?
- What more information, do you need to decide that the trader's business' performance is good?

Think on the above points and discuss in the class.

The financial status and operational performance of business entities can be assessed through financial analysis. Analysis of financial statements involves study of items in the financial statements and making a logical conclusion. There are various tools available for financial analysis such as common size statement, comparative statement, ratio analysis, cash flow analysis, etc. Ratio analysis is one of the important tools of financial analysis. Ratio analysis involves computation of various ratios for analysing the financial statements. It is the most important and powerful tool for measuring performance of a business enterprise.

9.2. Meaning of accounting ratios

Ratio is a mathematical expression of relationship between two related or interdependent items. It is the numerical or quantitative relationship between two items. It is calculated by dividing one item by the other related item. When ratios are calculated on the basis of accounting information, these are called 'accounting ratios'.

Accounting ratios can be expressed in any of the following forms:

(i) **Pure**: It is expressed as a quotient. Example: 2 or 2:1.

(ii) **Percentage**: It is expressed in percentage. Example: 25%.

(iii) **Times**: It is expressed as certain number of times of a particular figure. Example: 4 times.

9.3. Meaning and definition of ratio analysis

Ratio analysis is a tool which involves analysing the financial statements by calculating various ratios. It is a tool of financial statement analysis, in which, inferences are drawn based on the computation and analysis of different ratios.

According to Myers, "Ratio analysis is a study of relationship among various financial factors in a business".

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